

The Relation of Depreciation and Similar Charges to Earning Power

A CRITICAL ANALYSIS of an income account must pay particular attention to the amounts deducted for depreciation and kindred charges. These items differ from ordinary operating expenses in that they do not signify a current and corresponding outlay of cash. They represent the estimated shrinkage in the value of the fixed or capital assets, due to wearing out, to using up or to their approaching extinction for whatever cause. The important charges of this character may be classified as follows:

1. Depreciation (and obsolescence), replacements, renewals or retirements.
2. Depletion or exhaustion.
3. Amortization of leaseholds, leasehold improvements, licenses, etc.
4. Amortization of patents.

All these items may properly be embraced under the title “amortization,” but we shall sometimes refer to them generically as “depreciation items,” or simply as “depreciation,” because the latter is a more familiar term.

Leading Questions Relative to Depreciation. The accounting theory that governs depreciation charges is simple enough. If a capital asset has a limited life, provision must be made to write off the cost of that asset by charges against earnings distributed over the period of its life. But behind this innocent statement lie complications of a threefold character. First we find that accounting rules themselves may permit a value other than cost as the base for the amortization charge. Second, we find many ways in which companies fail to follow accepted accounting practice in stating their depreciation deduction in the income account. Third, there are occasions when an allowance that may be justified from an accounting standpoint will fail to meet the situation properly from an investment